

**IMPLEMENTATION-RELATED ISSUES REFERRED
TO THE COMMITTEE BY MINISTERS**

Questions from Australia to Brazil¹ and India²

The following communication was received on 14 January 2002 from the Permanent Mission of Australia.

Australia submits the following comments and questions seeking clarification of certain aspects of the Brazilian and Indian proposals. These comments and questions are without prejudice to whether Australia endorses any conclusions which may be drawn in relation to the review of countervailing duty investigations.

Article 14

- For a subsidy to exist from duties foregone or not collected, benefit should have been received during the investigation period

(3rd dot point of the Chair's list of issues; paragraphs 19-21 of document G/SCM/W/462)

An exporter may have applied for, but not received, a subsidy during the investigation period. Australia agrees that if the duty refund has not been received and no benefit has been conferred during the investigation period, then a subsidy cannot be deemed to exist for the purposes of a countervail investigation. The exporter would have had to have availed itself of the duty refund.

In the example outlined by India in paragraph 19 of document G/SCM/W/462, does India presume that a specific subsidy, i.e. an actionable subsidy, exists whereby the investigating authorities may impose countervailing duties?

- Expenses incurred by recipient to obtain the subsidy should be deducted from amount of the subsidy and from amount of countervailing duty

(5th dot point, 1st sub dot point of the Chair's list of issues; paragraphs 22-23 of document G/SCM/W/462; paragraph 7(e) of document G/SCM/W/464)

In terms of the examples provided in paragraph 22 of document G/SCM/W/462, if these charges/expenses are ones which apply on the commercial market, for example, bank guarantee charges, does India consider that deductions for these expenses constitute subsidies?

¹ G/SCM/W/464.

² G/SCM/W/462.

Does India distinguish between application/administration fees charged by governments to administer countervailable schemes and fees required to access a benefit under countervailable schemes which could/would apply in the normal course of business, i.e. costs which would otherwise be borne by a firm on the commercial market?

Does Brazil agree that expenses incurred by a recipient in order to obtain the subsidy should be deducted from the amount of countervailing duty?

- To determine average useful life of assets, depreciation information of individual recipient firms should be used

(6th dot point of the Chair's list of issues, paragraphs 17-18 of document G/SCM/W/462)

Could India clarify what is meant by a depreciation period "without any scientific basis"? Is India suggesting that there is or should be a standard applied? How would this apply where a government provides flexibility or allows a firm self-assessment in relation to the definition of whole of life costing for capital goods?

De minimis

- Introduce in Article 19 a provision that no duty be collected where subsidy amount is *de minimis*

(paragraphs 12-14 of document G/SCM/W/464)

We agree that if it is determined that the amount of the subsidy is found to be *de minimis*, then the investigation is terminated. Does Article 11.9 provide for termination where the amount of subsidy is *de minimis* for a specific exporter?

Brazil states in paragraph 13 that establishment of a *de minimis* amount of subsidy requires the immediate termination of an investigation and that it follows that the same parameters should be followed in terms of the imposition and collection of duties.

We recall that Article 11.9 of the SCM reflects or parallels Article 5.8 of the Anti-Dumping Agreement (ADA). WTO jurisprudence has found that the *de minimis* test in Article 5.8 does not require a *de minimis* test in Article 9.3 duty assessment procedures and therefore cannot require Members to apply a *de minimis* standard in duty assessment procedures. Given that the DRAMS Panel found that the term "case" used in the first sentence of Article 5.8 encompassed at a minimum the notions of an "application" and "investigation", what situations would give rise to a countervailing duty being imposed even where the amount of subsidy has been found to be *de minimis* during the investigation period?

Is it the case that duties may be imposed as the exporter was above *de minimis* during the IP but subsequently would be *de minimis*?
